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Revision Date:
May 1, 2026

Background:
Every customer applying for CalWORKs must be informed of the availability of the Diversion Program at the time of application. The Diversion Program offers a one-time payment as a possible resolution to the circumstances that caused the family to apply for cash assistance prior to the family's approval for aid. It provides cash payments or services with the intent of diverting the customer from long-term aid. A customer applying for CalWORKs may either participate in the Diversion Program or decline participation and receive aid under CalWORKs if otherwise eligible.

Purpose:
This section outlines the Diversion Program requirements. The purpose of this revision is to complete a sunset review. There is no policy change.

Policy:
Diversion Program Requirements
Customers applying for CalWORKs may only receive Diversion Program services at the time of application. The time of application includes the interview and any time while the application is pending.

To qualify for Diversion Program, the customer must meet all the following requirements:
1. Be apparently eligible for CalWORKs.
2. Have a job offer or current employment.
3. Be able to benefit from Diversion Program and avoid the need for extended assistance.
4. Complete and sign form CW 88 *CalWORKs Diversion Services Agreement.*

Apparent Eligibility
Apparent eligibility for CalWORKs means the information provided on the Statement of Facts such as the income of the Assistance Unit (AU), resources, and information otherwise available to the county, indicates that the AU would be eligible for CalWORKs if the information were verified.

All the following will be verified to support the determination of apparent eligibility:
- Eligible non-citizen status for non-citizen customer.
- Verification of pregnancy if the customer is pregnant with no other eligible children.

Refer to CalWORKs Program Guide (CPG) section 44-200.C *Pregnancy Special Needs* and CPG section 41-500.F *Pregnancy Based AU* for more information regarding acceptable verification for pregnancy.

Criteria of Job Offer or Current Employment
In determining whether the customer is likely to be able to avoid the need for extended assistance, staff must consider whether the customer has current employment or a job offer. The employment or job offer must meet both criteria:
- Provide income that, when combined with other resources, will enable the customer to meet the family's needs without a monthly CalWORKs grant.

- Have a definite start date and be expected to last throughout the period of Diversion Program.

Customer's Right to Choose

If the customer has been determined to be a suitable candidate for the Diversion Program, the customer will be informed of this option. The customer has the right to accept or reject the Diversion Program option. The one-time payment is intended to cover the family's specific need(s) in lieu of ongoing CalWORKs assistance. If the customer chooses to receive a payment through Diversion Program in lieu of receiving aid, the CalWORKs application will be denied when the payment is authorized.

Customers Not Eligible for Diversion Program

The following customers are considered ineligible for Diversion Program:

- Non-needy caretaker relatives.
- Supplemental Security Income (SSI) recipients.
- Timed out individuals.
- Individuals convicted of fraud.
- Other customers who do not have apparent eligibility to CalWORKs, such as but not limited to non-residents, fleeing felons, undocumented noncitizens, or sanctioned individuals.

Expenses Not Covered

Diversion Program payments must not be made for the following expenses:

- Employer's background checks.
- Traffic tickets, parking tickets, or other penalties.
- Start-up costs of self-employment.
- Firearms/weapons.

Note: The program may pay for some costs involved in continuing a self-employment business that has established a record of success.

Expenses Covered

Diversion Program payments are limited to the equivalent of three months of the Maximum Aid Payment (MAP) for the AU. The Family Resource Center (FRC) management may authorize payments above the dollar limits listed below, provided the total payment does not exceed the equivalent of three months of the MAP for the AU. Documentation of unusual circumstances and need is required.

Expense	Description	Max Amount
Rent/Utilities	• Rent/utility deposits, to stabilize a family situation. Utilities include gas, electric, propane, and water. • Back rent to prevent eviction, and to cover utility payments in arrears to avoid utility shutoff or to assure restoration of utility service. • Rental/utility deposits for relocation within the county when the distance between residence and the employment prior to the move is within 35 miles one-way, or residence is in a remote area that would require a trip on public transportation of two hours or more, including transfers.	Actual cost*
Child Care	Funds for child care while the individual is waiting to be accepted in Stage 2 or Stage 3 Child Care.	Actual Cost*
Transportation	Cash for gas or mass transit passes. Private vehicles must be owned by the customer, and be required as a condition of employment (or if no public transportation is available), the customer must have a valid California Driver's License.	$75
Vehicle Repair	Repairs to a vehicle owned and used by the customer (required as a condition of employment or if no public transportation is available). Includes: tires, batteries, smog checks, etc.	Actual Cost*
Clothing	• Uniforms. • Special shoes (work, nursing). • Office Attire (including shoes).	$100 $75 $100
Tools	Tools required as a condition of employment and needed for the job – an estimate is required.	Actual Cost*
Licenses/Health Cards	Licenses needed to obtain or retain employment. **Note:** Driver's Licenses are not included except when renewing a license to obtain or retain employment.	Actual Cost*
Union Dues	Initial membership fees if they are mandated to join a union as a condition of employment.	Actual Cost*
Immigration Documentation	Fees for replacement of immigrant registration documentation, issued by United States Citizenship and Immigration Services (USCIS) or the United States Consulate, that are required in obtaining employment.	Actual Cost*

Medical Tests/Services	• Medical test/physicals not covered by Medi-Cal and required as a condition of employment. • Can cover hearing aids, glasses, etc. when not covered by Medi-Cal and needed for employment.	Actual Cost*
Stoves/ Refrigerators	A stove and/or refrigerator that is needed to stabilize the family living situation.	$250 each

***** Actual Cost is granted up to the MAP of AU multiplied by three.

Diversion Period

The Diversion Period is determined by dividing the value of the Diversion Program payment by the appropriate MAP level for the 'apparently eligible' AU at the time of the initial application. Partial months are not counted when determining the Diversion Period. Diversion Program payments are limited to once every 12 months (including Diversion Program payments from other counties).

CalWORKs Application/Reapplication for Diversion Recipients

When the customer applies for CalWORKs after receiving Diversion Program, the customer is considered a new applicant, and the beginning date of aid rules will apply. Refer to CPG section 40-100.A *Application Process* for more information.

If the former Diversion recipient applies for CalWORKs…	**then…**
within the Diversion Period,	the AU has two options: • To allow the county to recoup the entire Diversion Program payment amount through a 10% CalWORKs grant reduction, **or** • Count the entire determined Diversion Period against the customer's 60-month CalWORKs time limit
after the Diversion Period,	only one month is counted towards the 60-month CalWORKs time limit, and no repayment of the Diversion Program is required.

Out-of-State Diversion

Diversion Program payment received from out-of-state is considered a nonrecurring lump-sum payment. Nonrecurring lump sum payments are treated as income in the month received and treated as property in subsequent months, per CPG section 44-100.B *Income - General.*

Any Diversion Program payment received from out-of-state cannot count against the CalWORKs 60-Month time limit, however, coordination with the other states is required to ensure that the correct number of months of Temporary Assistance for Needy Families (TANF) time on aid is counted.

Procedure:

CalWORKs Processing Guide 40-100.D1 – Diversion Program

Other Program Impacts:
CalFresh Program Guide 63-224 Income Exclusions
Medi-Cal Program Guide 10.03.01L CalWORKs Diversion Payments, 09.06.01 Personal Property

References:
Eligibility and Assistance Standards (EAS) 81-200, 40-129, 42-302
All County Letter (ACL) No. 97-68, 14-100

Sunset Date:
This policy will be reviewed for continuance on or by May 31, 2029.

Approval for Release:



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Self-Sufficiency Services